

“Planning and Coordinating YOUR Retirement”

Part:

1

Location:

Northern Kentucky University

Your Instructor

Justin McGuffey, IAR, IA



As an independent financial professional with over 18 years of experience in the financial services industry and a degree in Business from Miami University of Ohio, Justin believes in making an impact on people's financial lives.

Justin is an Investment Advisor Representative (IAR), Independent Agent (IA), and holds multiple licenses. He specializes in preparing and guiding everyone throughout the various financial life stages through proper financial advice and Retirement planning.

His passion for educating people and helping others is reflected in his ability to develop long-term relationships as well as in his service to his clients. He enjoys public speaking and delivering educational events to best share stories on how proper, personalized guidance leads to more fulfilling outcomes.

While a native Ohioan, Justin now resides in Northern Kentucky with his wife, Stephanie, and daughter, Isla.

Your Instructor

Justin McGuffey



Your Financial House

HEALTH & LONG TERM CARE-*Roof*



INCOME-*Wall*

LEGACY-*Wall*

MONEY-*Foundation*

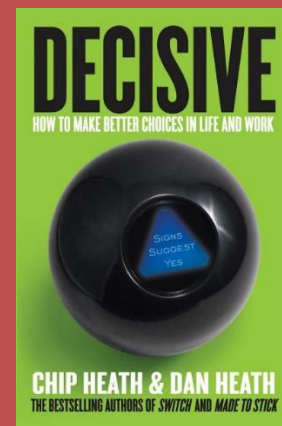
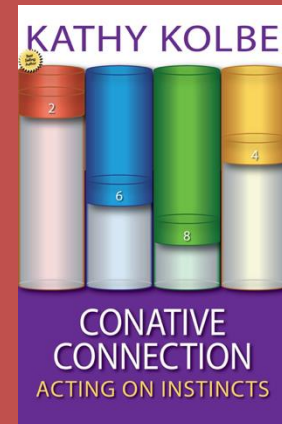
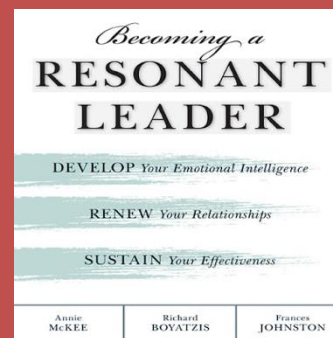
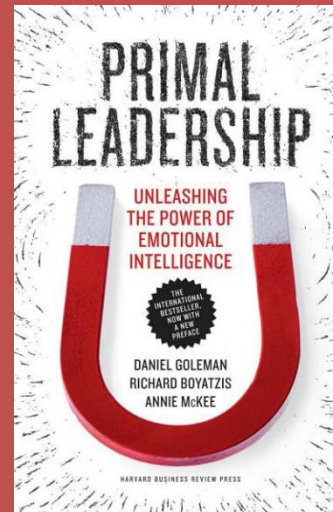
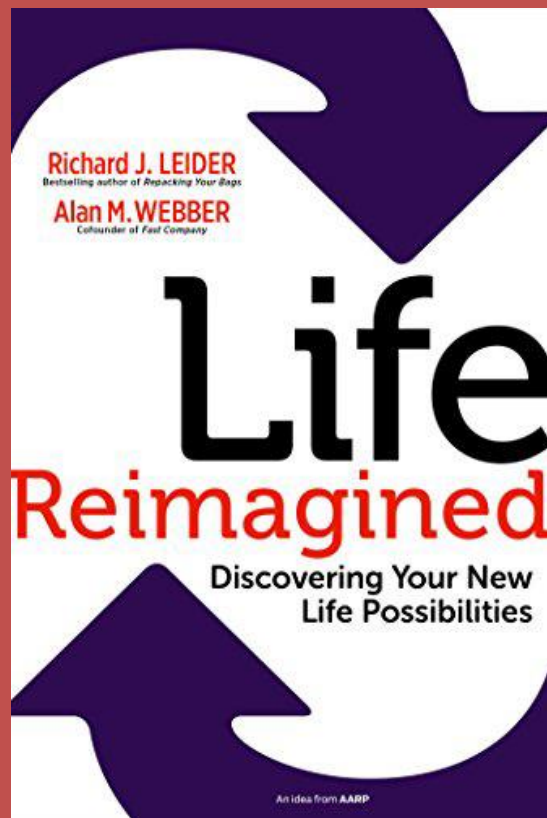
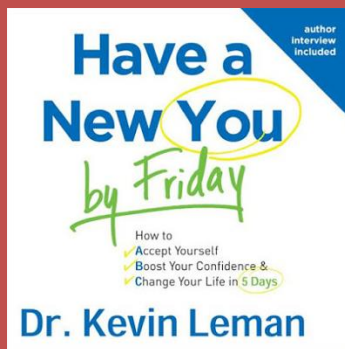
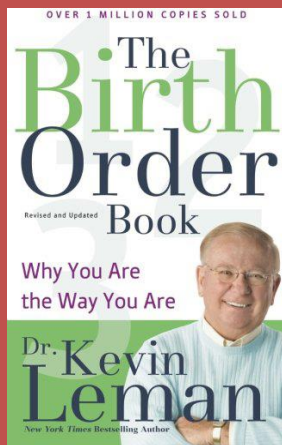
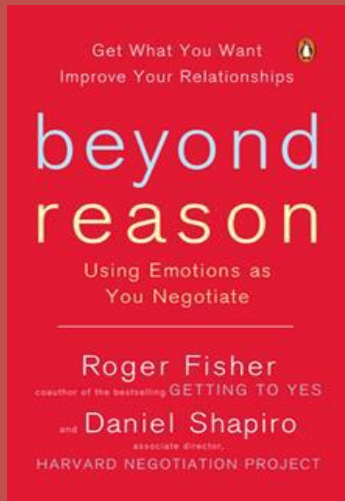
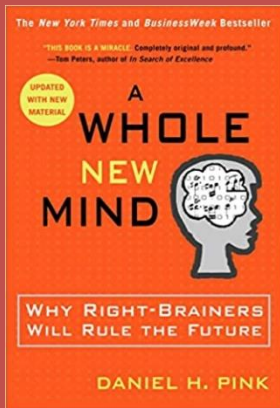
Attendee Concerns





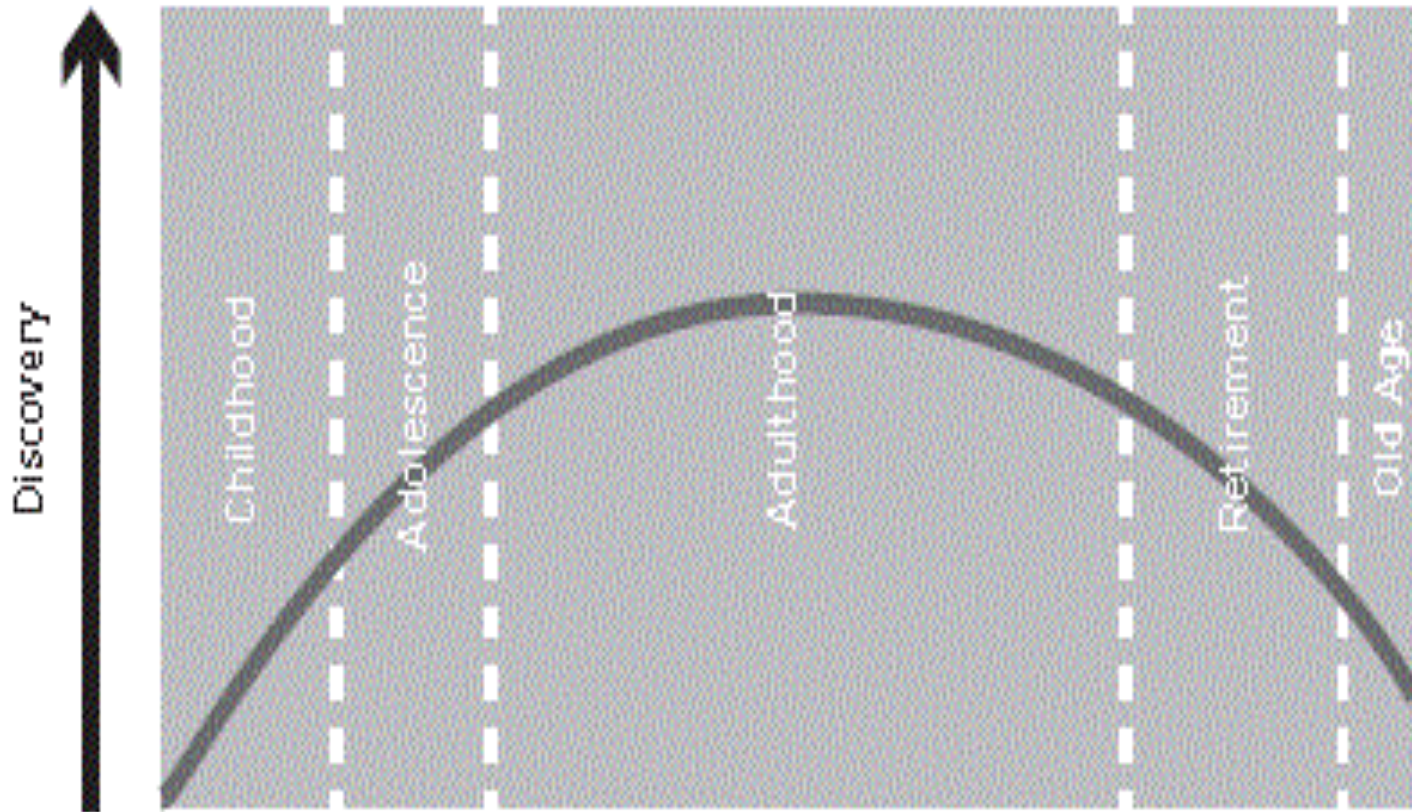
YOUR Retirement





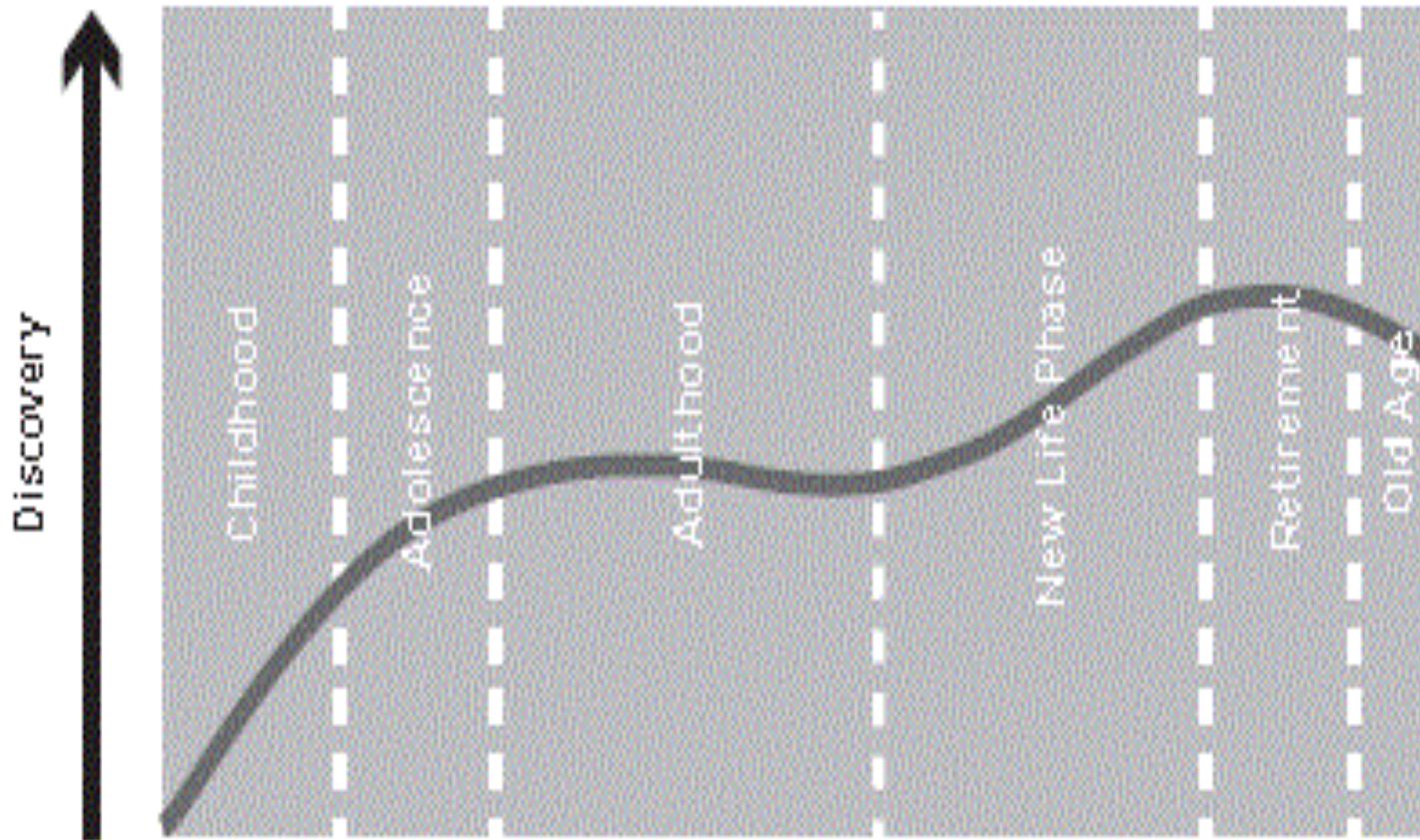
Up vs Down

The Old Story



“If you find a job where you enjoy what you do...
you’ll never work a day in your life.”

The New Story



DANGER

CONSTRUCTION ZONE

UNAUTHORIZED PERSONNEL

KEEP OUT

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Your Financial House

HEALTH & LONG TERM CARE-*Roof*



INCOME-*Wall*

LEGACY-*Wall*

MONEY-*Foundation*

Disclaimers About This Course

IMPORTANT INFORMATION - PLEASE READ

The educational materials contained in these slides are being presented solely as general information. This material is presented for informational purposes only and should not be considered specific financial advice. Accordingly, these materials should not be interpreted as constituting any form of investment advice nor should they be viewed or relied upon as legal or tax advice.

Should you desire to obtain investment advice, please contact a qualified investment professional. For legal or tax advice, you should seek the assistance of your attorney or tax professional.

This presentation is intended to provide information and not specific financial advice. Nothing in this presentation should be considered tax, legal, financial or investment advice. Each person's financial needs are different. We encourage you to speak with a qualified legal, tax and/or investment advisor before making any investment or insurance purchase decision. This presentation is not designed or intended to give specific investment advice, but broad and general information about the topics covered. Before choosing any investment, we encourage you to consider all aspects of that investment, read any prospectus/ADV, if applicable, and discuss the pros and cons with your investment advisor for your specific investment situation.

Selected Research & Informational Sources

Discussion of retirement and income throughout these sessions will often be integrated with selected academic and institutional research.

Center for Retirement Research at Boston College

U.S. Bureau of Labor Statistics

Society of Actuaries

AARP Public Policy Institute

Investopedia

Pew Charitable Trusts

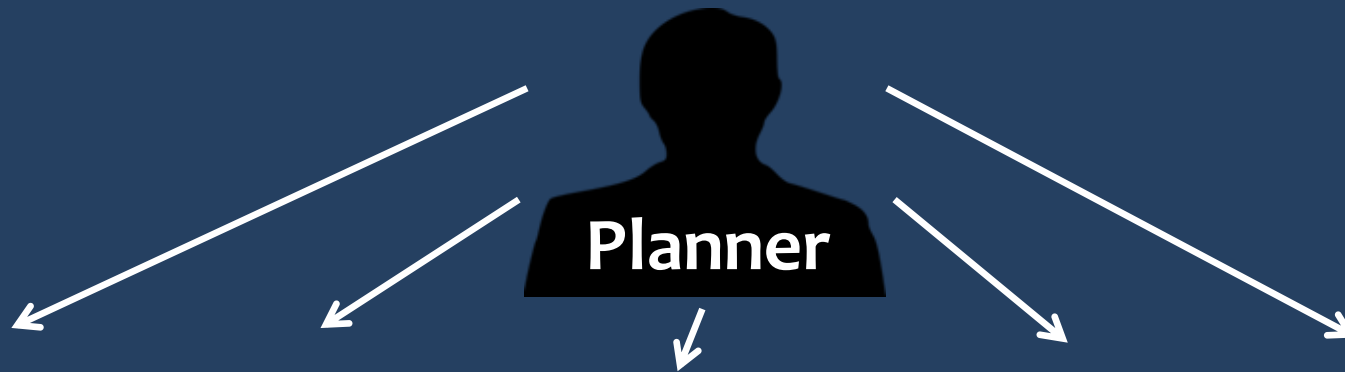
Yahoo Finance

DALBAR

Colby Community College



YOU



CPA/
Tax



Attorney/
Legal



Social Security/
Medicare



Financial
Advisor/Broker



Insurance/
Care

Your Financial House



MONEY-Foundation
(Protect)

Fiduciary vs. Suitability

FIDUCIARY- Highest legal duty of care.

Recommendations must always be in the client's best interest.
Duty is to the client.

SUITABILITY- Limited legal duty of care.

No requirement to be in the client's best interest.
Duty is to the firm employed by.

Which is best fit for YOU?



Website Resources:

1. <https://www.sec.gov/>
2. <https://brokercheck.finra.org/>
3. YOUR State Insurance Department Site

VERIFY A CFP® PROFESSIONAL

VERIFY AN INDIVIDUAL'S CFP® CERTIFICATION AND BACKGROUND

More than 88,000 individuals in the United States currently meet CFP Board's initial and ongoing certification requirements for CFP® certification.

Use this verification search to identify individuals who currently hold CFP® certification. Search results will also identify individuals who are not currently certified but who held CFP® certification at one time.

If you search for an individual who has been disciplined publicly by CFP Board, information about the discipline will be indicated in the search results. You may find additional regulatory information through [FINRA's BrokerCheck](#) and the [SEC's Investment Adviser Public Disclosure](#) databases. [i](#)

If you are looking for a CFP® professional to work with, and not trying to verify a specific individual's certification, use our [Find a CFP®](#)

First Name

Last Name (required)

Organization Name

City

State

SEARCH

Cancel

Bringing It All Together





Four Generations:

“Trends and Topics” YOU Should Be Aware Of...

❖ *Matures* (Born Prior to 1946)

- 72 years old +
- About 70 million people in U.S.

❖ *Boomers* (Born Between 1946-1964)

- 54 to 72 years old
- About 76 million people in U.S.

❖ *GenXers* (Born Between 1965-1980)

- 38 to 54 years old
- About 82 million people in U.S.

❖ *Millennials* (Born Between 1981-2000)

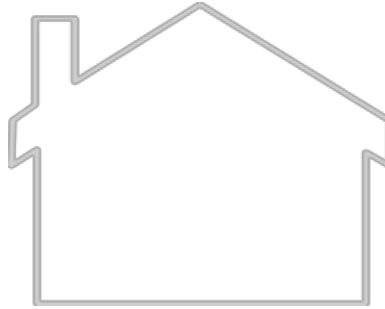
- 18 to 38 years old
- About 73 million people in U.S.

Your Financial House



MONEY-Foundation
(Protect)

Your Financial House



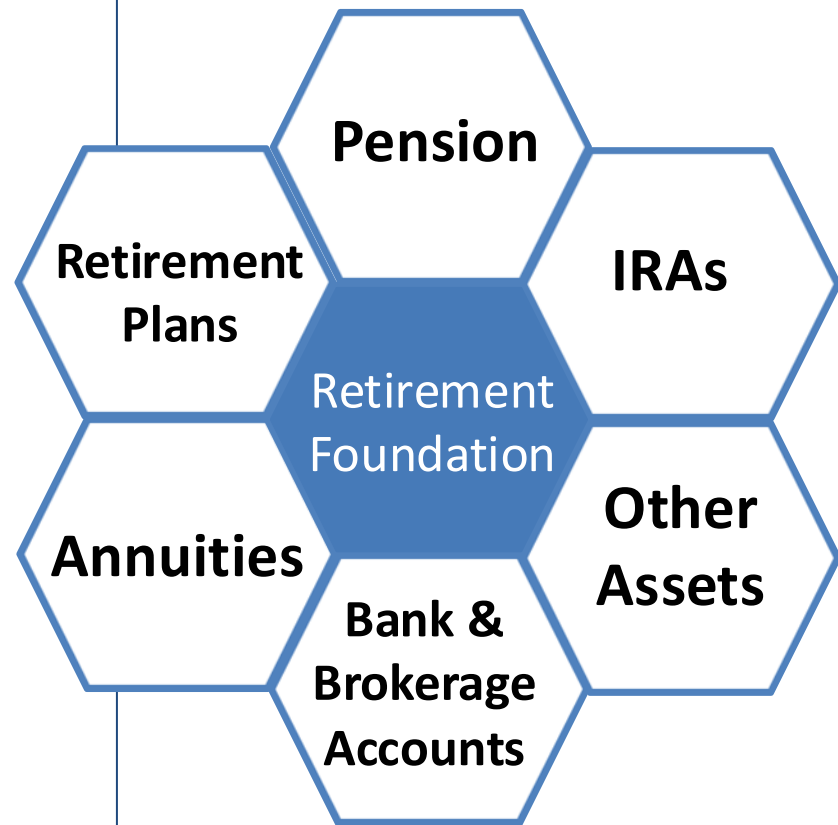
MONEY-Foundation
(Protect)

Tax-Now

Tax-Later

Foundation Sources

- **Pension – Private/Corp.**
- **Retirement Plans –**
(401k/403b, etc.)
- **IRAs -**
(All Types)
- **Bank & Brokerage**
(Ind, Joint, Trust, etc.)
- **Annuities**
- **Other Assets**



Foundation Sources Continued

		ROLLOVER TO								
		401(k) Plan	403(b) Plan	457(b) Gov't Plan	457(b) Non-Profit Plan	SEP IRA	IRA (traditional)	SIMPLE IRA	Roth IRA	Designated Roth Account (401k/403b/457b) In-Plan Rollover
ROLLOVER FROM	401(k) Plan	Yes	Yes	Yes	No	Yes	Yes	No	Yes	Yes
	403(b) Plan	Yes	Yes	Yes	No	Yes	Yes	No	Yes	Yes
	457(b) Gov't Plan	Yes	Yes	Yes	No	Yes	Yes	No	Yes	Yes
	457(b) Non- Profit Plan	No	No	No	Yes	No	No	No	No	No
	SEP IRA	Yes	Yes	Yes	No	Yes	Yes	No	Yes	No
	IRA (traditional)	Yes	Yes	Yes	No	Yes	Yes	No	Yes	No
	SIMPLE IRA ¹	Yes	Yes	Yes	No	Yes	Yes	Yes	Yes	No
	Roth IRA	No	No	No	No	No	No	No	Yes	No
	Designated Roth Account (401k/403b/457b)	No	No	No	No	No	No	No	No	Yes ²

General Considerations

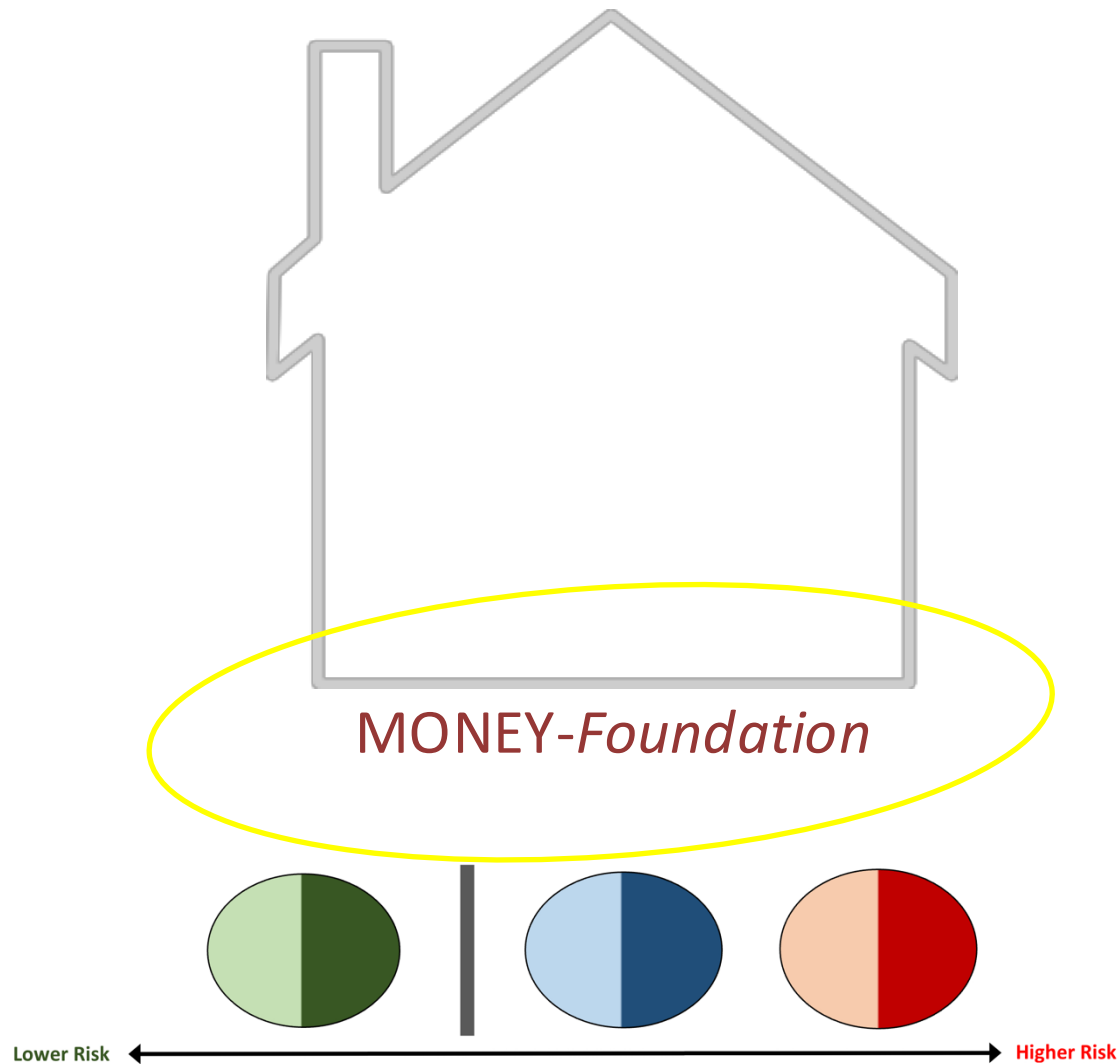
- **Do I** have sufficient investment options?
- **Am I** aware of all of the fees and costs?
- **Do I** have sufficient beneficiary options that meet my estate needs?

Am I aware of potential RMD errors?

Can I access and when?



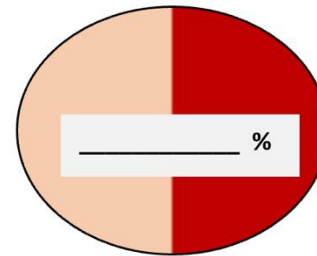
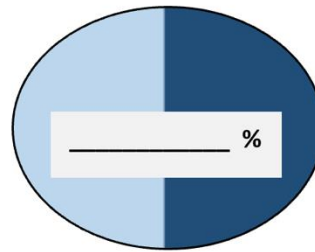
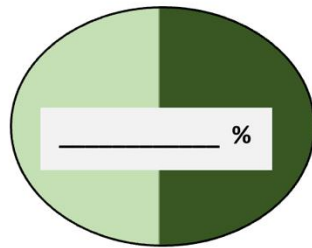
Your Financial House



Three Buckets

HOW MUCH RISK ?

Transfer (Principle Protected)



Lower Risk



Higher Risk

Lower Risk (Principle-Protected) Options

○ ***Checking or Savings Account:***

- Can be interest-bearing
- Lower minimum balance requirements
- FDIC

○ ***Money Market Account:***

- Interest-bearing account that typically pays a higher interest rate
- Higher minimum balance requirements vs checking/savings
- FDIC

○ ***Certificate of Deposit (CD):***

- When matures based on term chosen, the entire amount of principle as well as interest earned is available
- FDIC

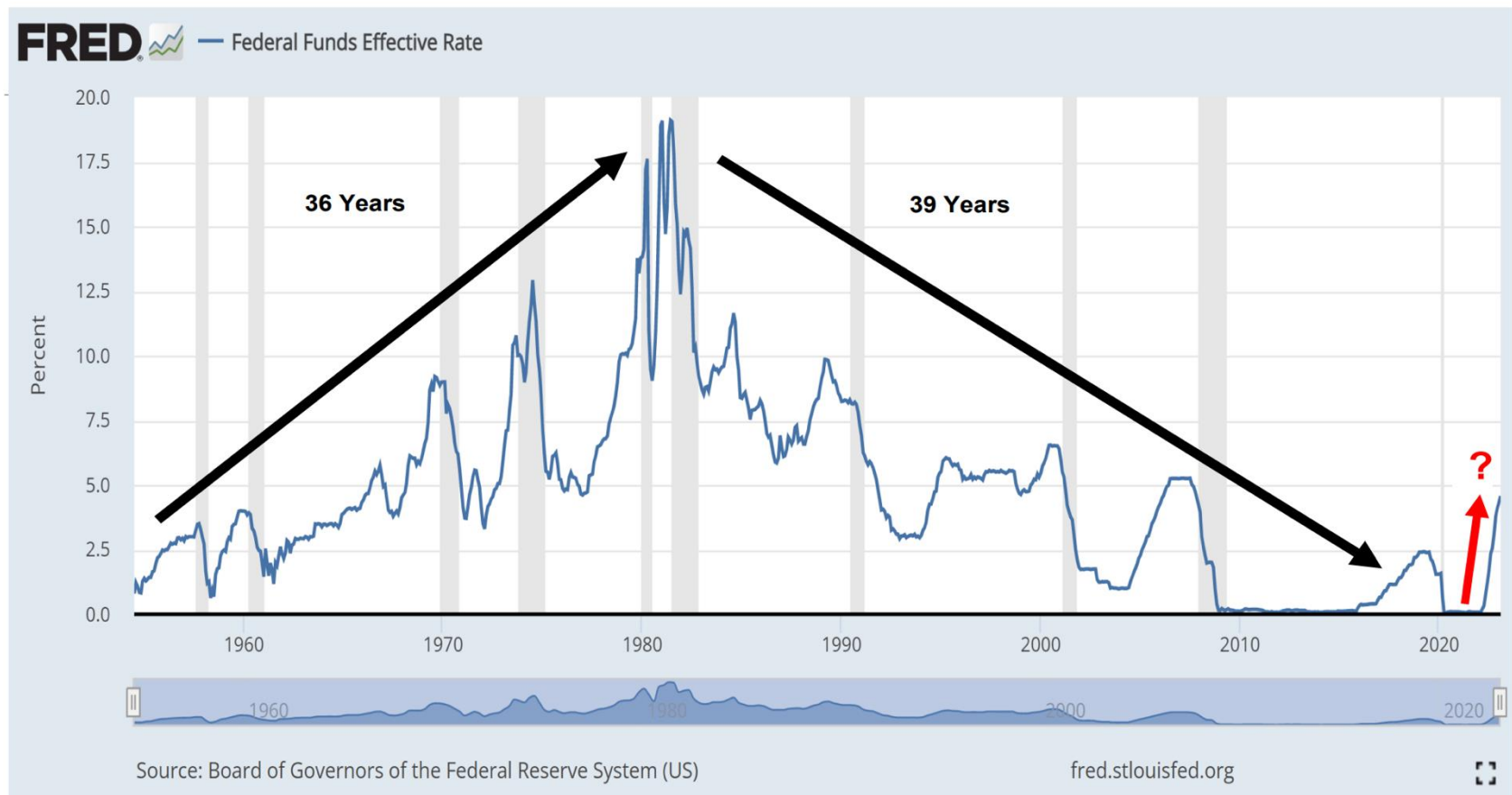
○ **Other ?**

- Will Discuss

Interest Rates

Interest Rate History

1950 to Present (8/31/2024)



Purchasing Power...How its Changed?

<u>Goods and Services</u>	<u>1975</u>	<u>2024</u>
Minimum Wage	\$2.10/hour	\$8.50
Median Income	\$12,700	\$68,000
New Car	\$3,800	\$47,000
New House	\$48,000	\$350,000
Long Term Care (Private Room in Nursing Home)	\$5,700	\$97,800

SOURCE: <https://www.cdc.gov/nchs/data/hus/hus7677.pdf>
<https://mediaroom.kbb.com/2023-02-01-Average-New-Car-Prices-Rise-Nearly-4-Percent-For-January-2023-On-Shifting-Sales-Mix-According-To-Kelley-Blue-Boo>
<https://www.genworth.com/about-us/industry-expertise/cost-of-care.html>
<https://seekingalpha.com/article/4152222-january-2023-median-household-income>
<https://www.census.gov/construction/nrs/pdf/uspricemon.pdf>

Lower Risk (Principle-Protected Options) 2008 vs 2015 vs Now

	<u>2008</u>	<u>2015</u>	<u>2024</u>
Fed Funds Rate Avg:	5.10%	0.25%	4.75%
Prime Rate Avg:	5.30%	3.50%	6.25%
12-Month CD Rate Avg:	4.30%	0.35%	4.10%
FIA Crediting Rate (Longer) Avg:	5.20%	3.70%	5.80%
Inflation Rate Avg:	3.80%	1.30%	6.10%

Source: www.fred.stlouisfed.org

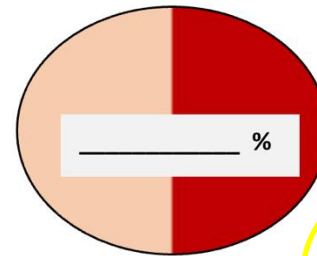
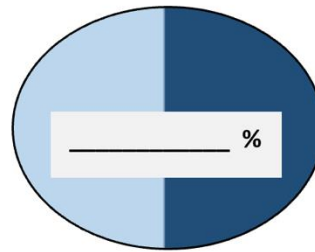
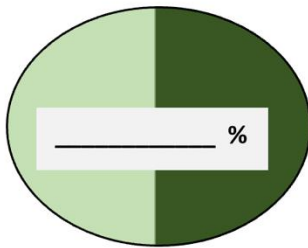
Source: <https://www.firstrepublic.com/finmkt/historical-interest-rates>

Source: <https://www.usinflationcalculator.com/inflation/historical-inflation-rates/>

Three Buckets

HOW MUCH RISK ?

Transfer (Principle Protected)



Lower Risk



Higher Risk



Individual Stocks vs Individual Bonds

Stock

Ownership

- Dividends
- Capital Gains

Bond

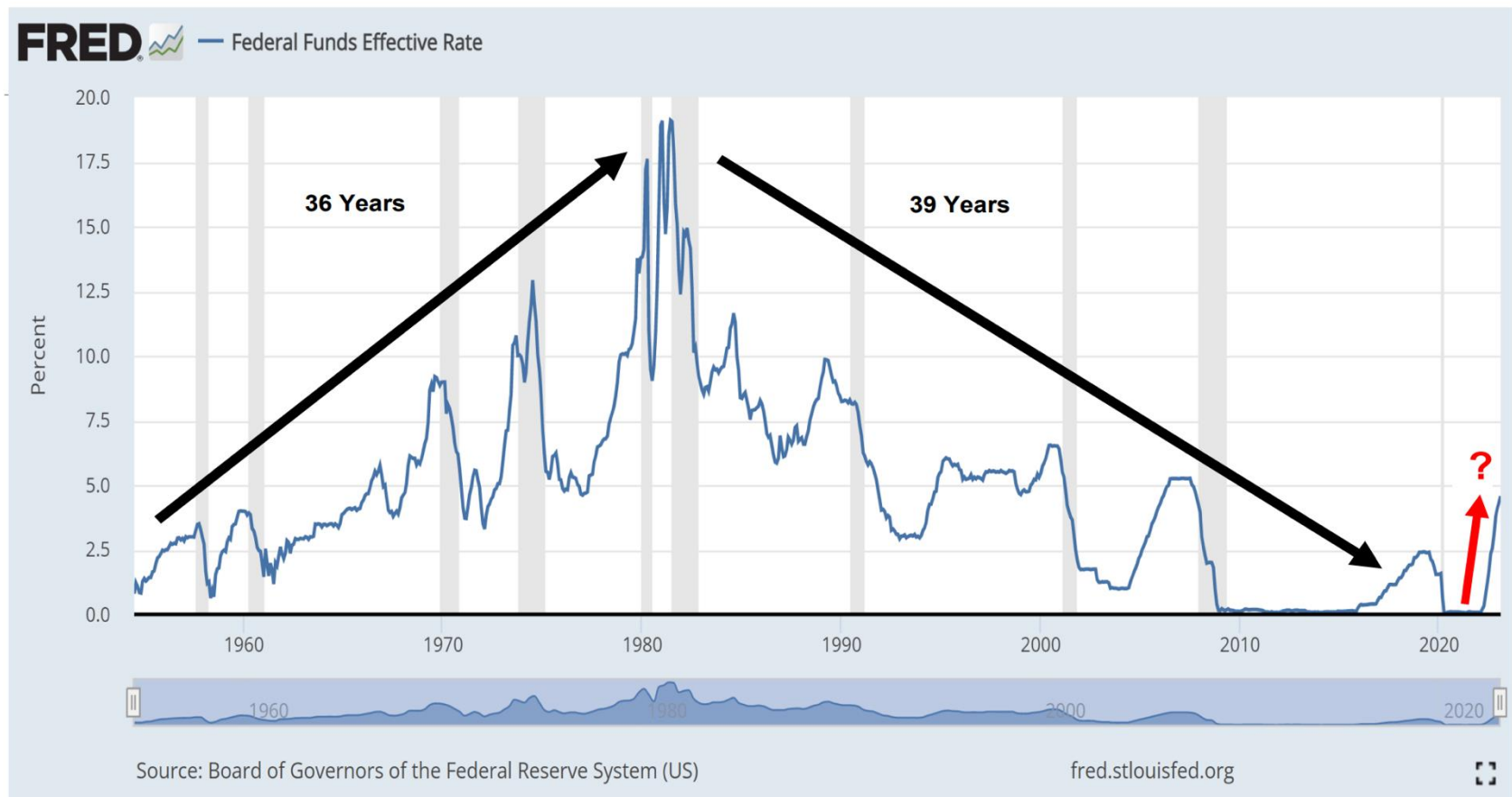
Loan

- Principal
- Interest

Interest Rates

Interest Rate History

1950 to Present (8/31/2024)



Emotional Unpredictability

Market Cycles



Market Cycles

S&P 500 Index

12/31/1988 to 8/31/2024



The Standard & Poors (S&P) 500 index is representative. Investors cannot invest directly in an index.

DISCLOSURE: Past performance is no guarantee of future results. Investments are subject to risk, including market and interest rate fluctuations. Investors can and do lose money.

Market Cycles

S&P 500 Index

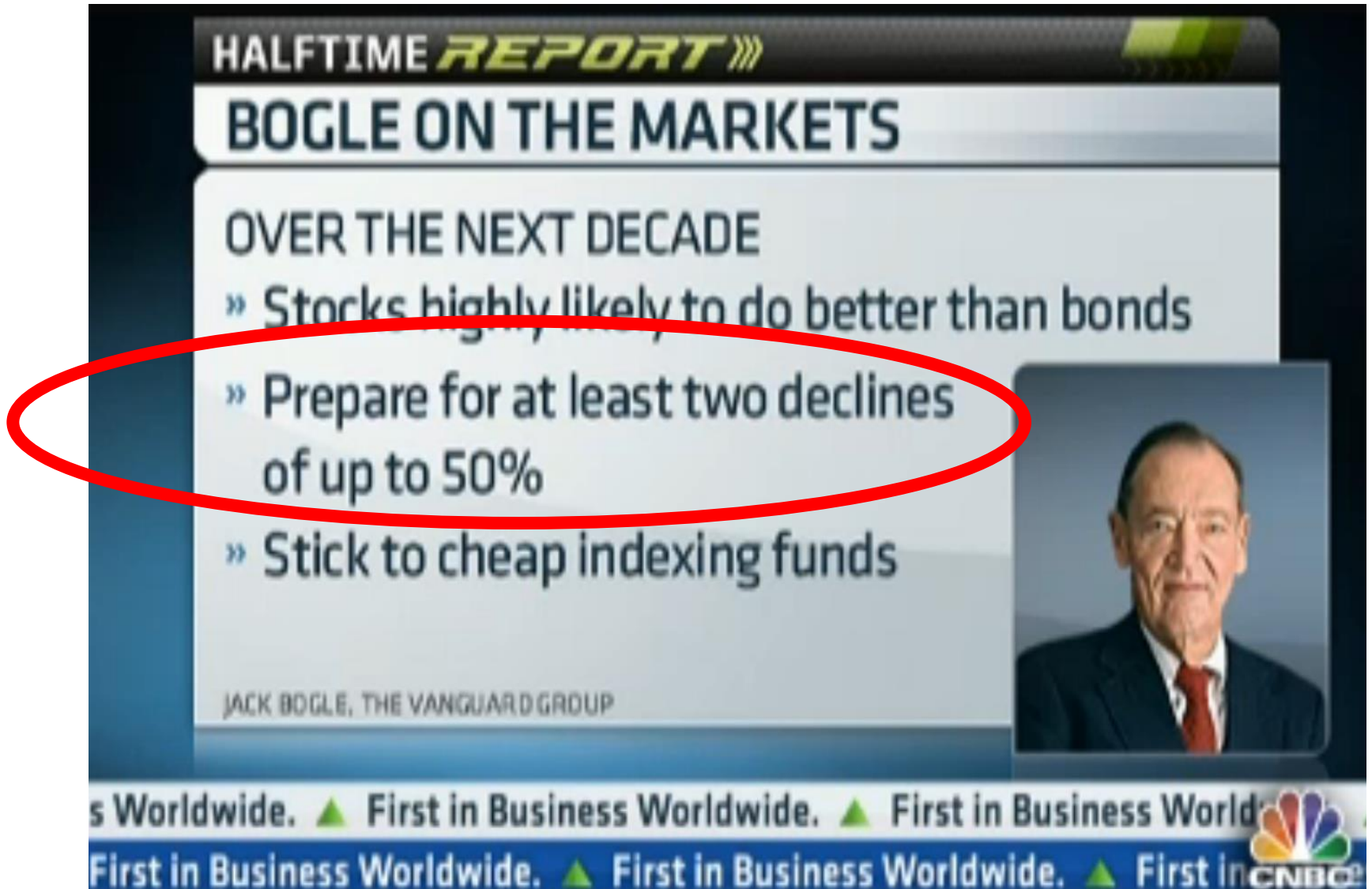
12/31/1988 to 8/31/2024



The Standard & Poors (S&P) 500 index is representative. Investors cannot invest directly in an index.

DISCLOSURE: Past performance is no guarantee of future results. Investments are subject to risk, including market and interest rate fluctuations. Investors can and do lose money.

Strategies - Passive



HALFTIME *REPORT* »»»

BOGLE ON THE MARKETS

OVER THE NEXT DECADE

- » Stocks highly likely to do better than bonds
- » Prepare for at least two declines of up to 50%
- » Stick to cheap indexing funds

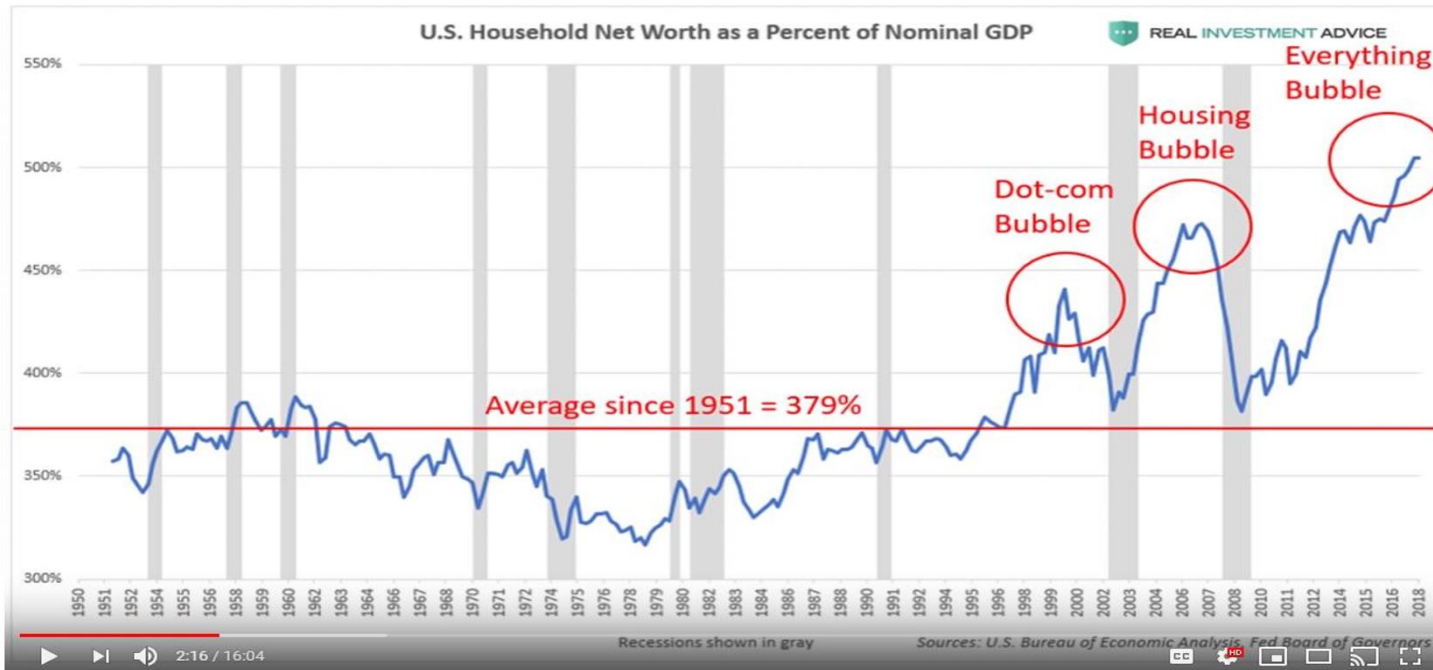
JACK BOGLE, THE VANGUARD GROUP



s Worldwide. ▲ First in Business Worldwide. ▲ First in Business World
First in Business Worldwide. ▲ First in Business Worldwide. ▲ First in 

Market Analysis

And that means the coming crash could be even more painful. The current figure is totally out of whack, compared with the average that is sustained since 1951. All that means that a “violent reversion to the mean is inevitable,”



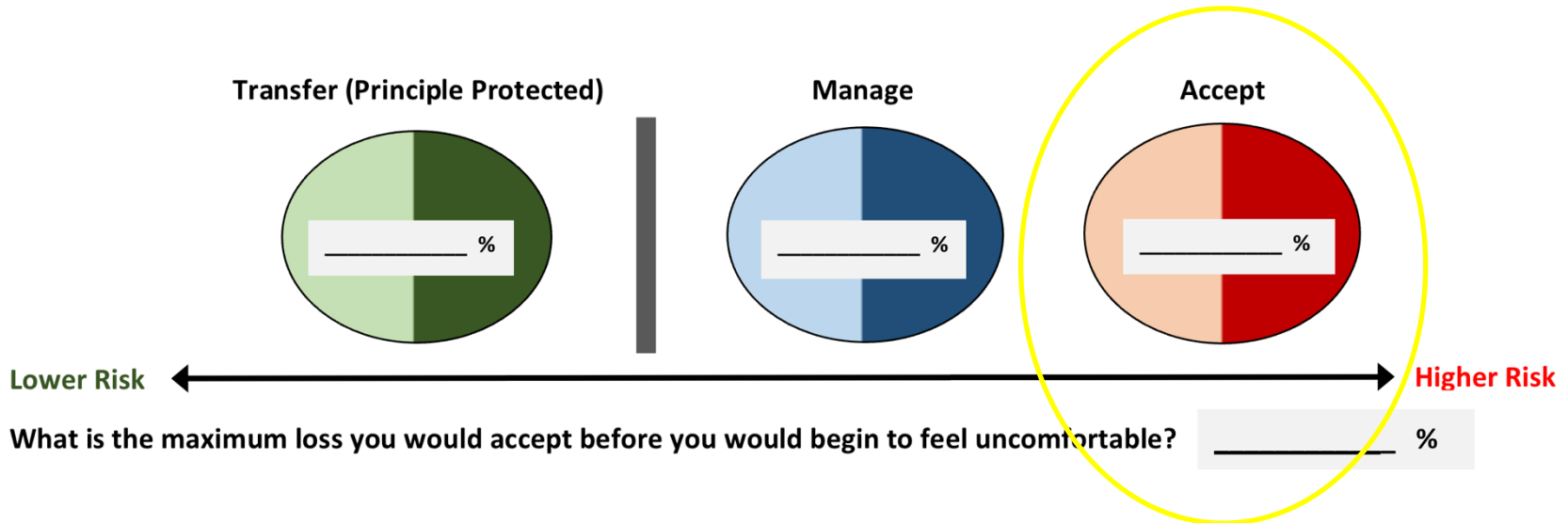
The primary driver of this bubble are common stocks, which have been on a yearslong march higher, and that includes those held by big mutual funds, he says. “Extremely-inflated” equities drive up that wealth, but such as in prior busts, they drag it right back down when a bear market, or decline of at least 20% from a recent market peak, takes hold. Equities are overvalued on several fronts such as a favorite indicator of Berkshire Hathaway’s Warren Buffett—total value of stock market divided by GDP, which shows the market more overvalued than it was during the halcyon days of the dot.com era.

Source: <https://www.marketwatch.com/story/bubble-brewing-in-us-household-wealth-2018-10-18>

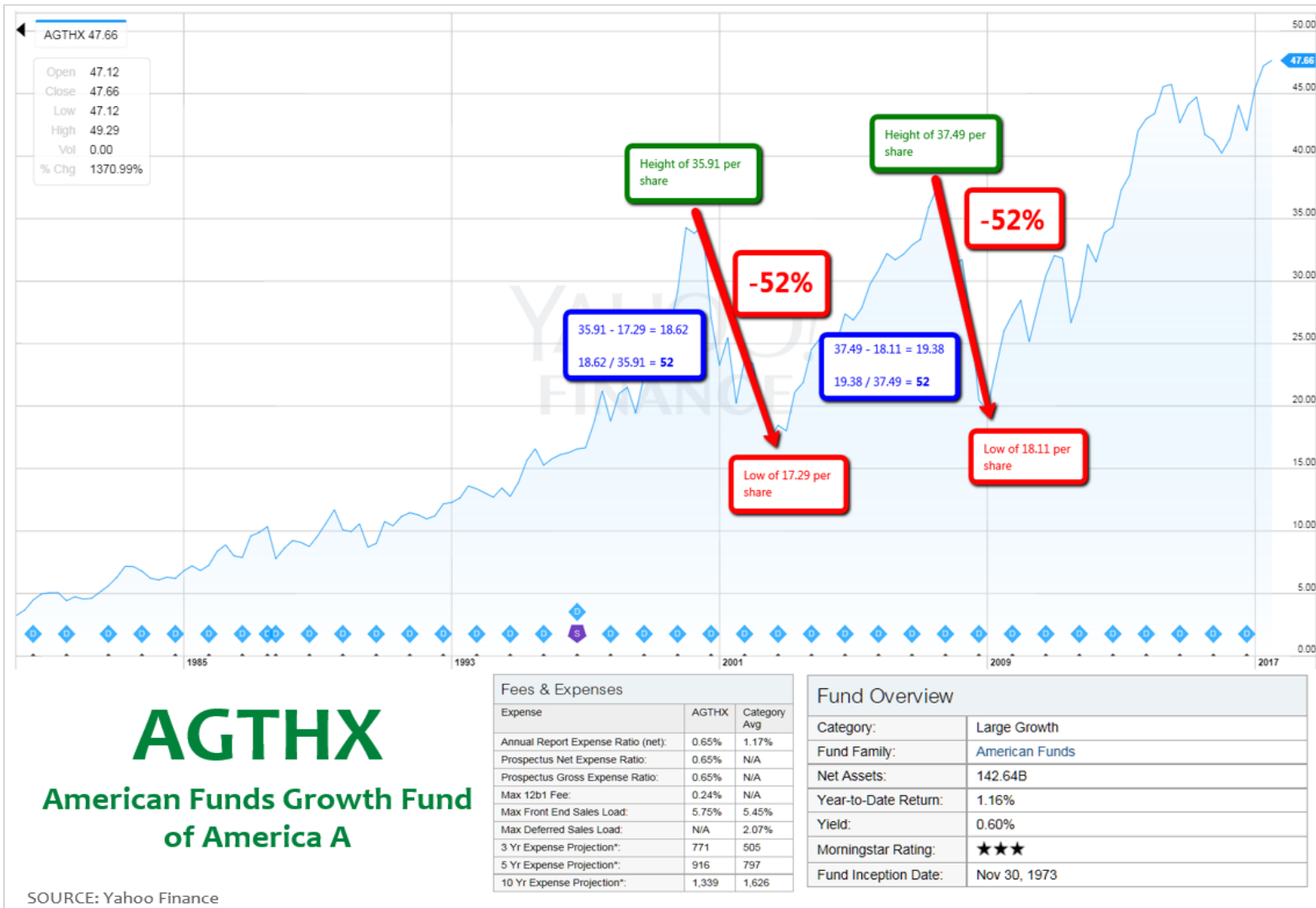
DISCLOSURE: Past performance is no guarantee of future results. Investments are subject to risk, including market and interest rate fluctuations. Investors can and do lose money.

Three Buckets

HOW MUCH RISK ?



Strategies – Active (Buy/Hold)



Strategies – Active (Buy/Hold)



FCNTX Fidelity Contrafund

Fees & Expenses		
Expense	FCNTX	Category Avg
Annual Report Expense Ratio (net):	0.70%	1.17%
Prospectus Net Expense Ratio:	0.71%	N/A
Prospectus Gross Expense Ratio:	0.71%	N/A
Max 12b1 Fee:	N/A	N/A
Max Front End Sales Load:	N/A	5.45%
Max Deferred Sales Load:	N/A	2.07%
3 Yr Expense Projection*:	227	505
5 Yr Expense Projection*:	395	797
10 Yr Expense Projection*:	663	1,626

Fund Overview	
Category:	Large Growth
Fund Family:	Fidelity Investments
Net Assets:	107.84B
Year-to-Date Return:	0.32%
Yield:	0.32%
Morningstar Rating:	★★★★★
Fund Inception Date:	1967-05-17

SOURCE: Yahoo Finance

Balanced – 60/40 Portfolio Blend

Vanguard Balanced Index Fund Admiral Shares (VBIAX) [★ Add to watchlist](#)

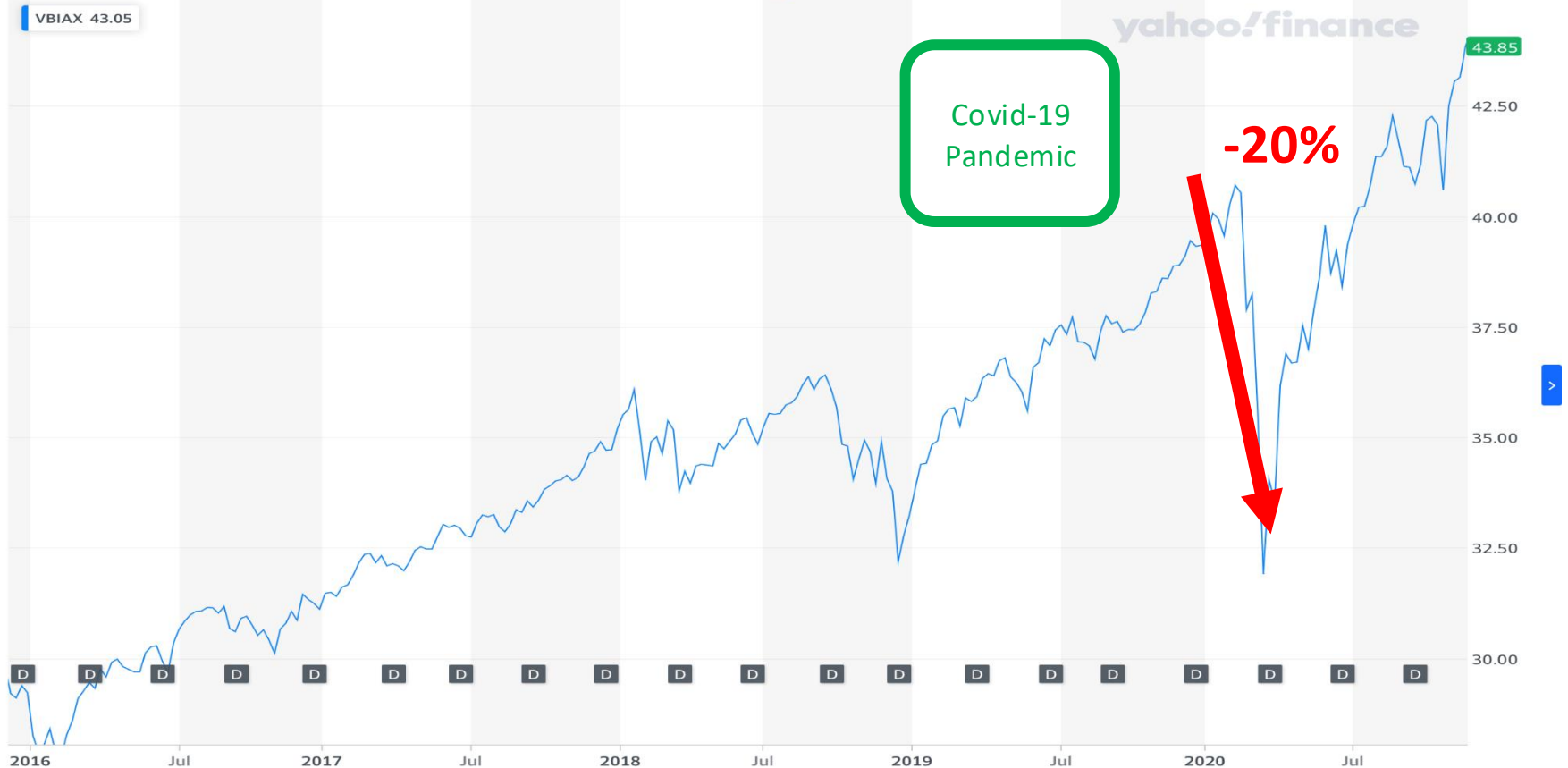
Nasdaq - Nasdaq Delayed Price. Currency in USD

45.83 **+0.04 (+0.09%)**

As of 5:51PM EDT. Market open.

VBIAX

Indicators Comparison Events Date Range 1M 3M 6M YTD 1Y 2Y **5Y** Max Interval 1W Line Draw



Strategies - Continued

35-D-1

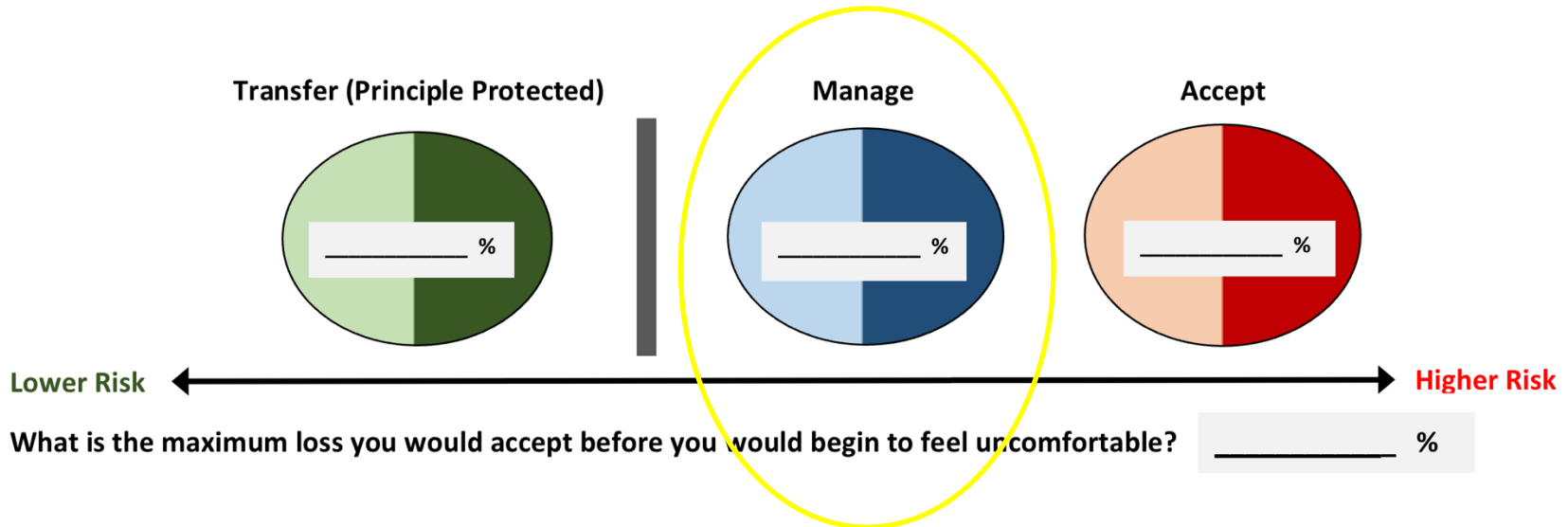
- Prohibits a registered investment company from using a name that the Commission finds by rule to be materially deceptive or misleading.
- Must invest 80% of its assets in the type of security indicated by its name.

(Full Definition in Glossary)



Three Buckets

HOW MUCH RISK ?



Strategies – Active (Tactical)

How Tactical Asset Management Works



Strategies - Continued

Select Period ☐ Logarithmic Scale [Update](#)

Growth of a Dollar 12/31/2019 to 7/23/2020



<<Chart Scale is Arithmetic>>

Red Line is EVO3 - Black Line is S&P 500 Total Return Index

Strategies - Continued

Blue Bucket

Daily Managed Volatility Example

6/1/2002 to 5/31/2022



Strategies - Continued

Blue Bucket

Daily Managed Volatility Example

1/1/1997 to 12/31/2022

BLUE BUCKET STRATEGY

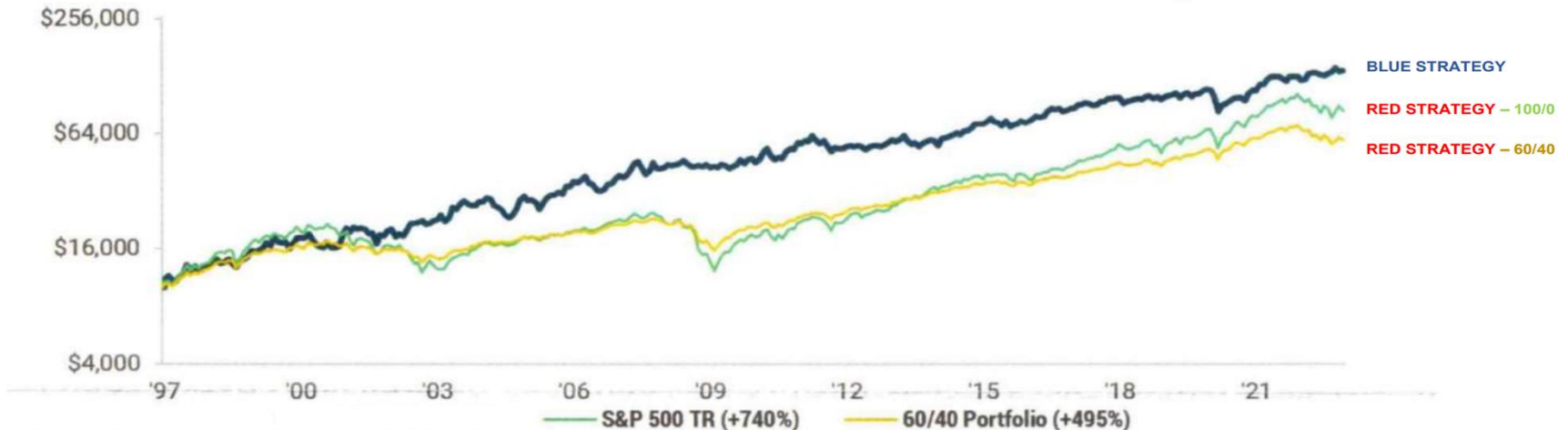
vs

RED BUCKET STRATEGY

(100% Stock / 0% Bond)

(60% Stock / 40% Bond)

... RESULTING IN LONG-TERM OUTPERFORMANCE VERSUS THE S&P 500 AND A 60/40 PORTFOLIO



Source: Bloomberg LP and Catalyst Capital Advisors LLC. Monthly return data from 01/01/1997 to 12/31/2022. Graph presented in logarithmic scale. 60/40 Portfolio represented by 60% allocation to the S&P 500 TR Index and 40% allocation to the Bloomberg Agg TR Index (rebalanced monthly). Past performance does not guarantee future results and there is no assurance that the Fund will achieve its investment objective. Past performance is not indicative of future results.